REQUEST FOR PROPOSAL (RFP)

Islamic Lending & Finance Platform

SAMPLE DOCUMENT · All names, figures and requirements are synthetic. For testing only.

Issuing Organisation: Al-Baraka Digital Bank (SAMPLE)

RFP Reference: ABDB-RFP-2024-001

Issue Date: 1 November 2024

Response Deadline: 30 November 2024, 17:00 GST

Contact: rfp@al-baraka-sample.example [SAMPLE · do not email]

Document Version: 1.0

1. Introduction and Background

Al-Baraka Digital Bank (SAMPLE) is a Shariah-compliant digital bank seeking a comprehensive Islamic Lending and Finance Platform to support its retail and corporate banking operations. The platform must support Murabaha, Ijarah, Musharakah, Tawarruq, and Sukuk-related products in full compliance with AAOIFI standards and local regulatory requirements.

2. Response Formatting Instructions

· Numbering: Use the question numbering exactly as given (e.g. 3.1, 3.2.1).

· Word limit: Maximum 250 words per narrative answer.

· Section headings: Each answer must begin with the question number and a short heading.

· File naming: ABDB-RFP-2024-001_<VendorName>_Response.docx

· Language: English only. Formal business tone.

· Compliance matrix: Complete Section 7 in the provided XLSX template.

· Mandatory items: All [MANDATORY] questions must be answered.

· Pricing: Submit in a separate sealed document (not in this file).

3. Core Platform Capabilities

3.1 Murabaha Financing

3.1.1. Describe how your platform supports Murabaha cost-plus financing, including profit calculation method, deferred payment scheduling, and disclosure of cost and profit margin to the customer. [MANDATORY]

3.1.2. Does your platform support Commodity Murabaha (Tawarruq) structures? Describe the commodity procurement workflow and how Shariah compliance is maintained throughout the transaction lifecycle. [MANDATORY]

3.1.3. How does the platform handle early settlement of Murabaha contracts? Does it support voluntary rebates (Ibra) and how is this configured? [MANDATORY]

3.2 Ijarah (Leasing)

3.2.1. Describe your platform's support for Ijarah (operating lease) and Ijarah Muntahia Bittamleek (lease-to-own). Include asset registration, depreciation handling, and ownership transfer at end of term. [MANDATORY]

3.2.2. How does the platform manage variable rental rates in Ijarah contracts linked to Islamic benchmark rates? [OPTIONAL]

3.3 Musharakah

3.3.1. Describe your platform's support for Diminishing Musharakah (Musharakah Mutanaqisa) for home financing, including partner share reduction scheduling and profit distribution calculations. [MANDATORY]

3.3.2. How does the system handle Musharakah profit-and-loss sharing when actual returns differ from projected returns? [MANDATORY]

3.4 Sukuk Administration

3.4.1. Does your platform support Sukuk issuance and administration? Describe supported structures (Ijarah Sukuk, Murabaha Sukuk) and investor profit distribution workflow. [OPTIONAL]

3.4.2. How does the platform integrate with central securities depositories (CSDs) for Sukuk settlement

and custody? [OPTIONAL] · Note: If not supported natively, describe the integration approach.

4. Shariah Governance and Compliance

4.1. Describe the Shariah governance workflow in your platform. How are new products submitted for Shariah Board approval, and how are approved fatwas stored and linked to product configurations? [MANDATORY]

4.2. How does the platform generate AAOIFI-compliant financial statements and Shariah audit reports? List the specific AAOIFI FAS standards your reporting covers. [MANDATORY]

4.3. Does the platform include a Shariah non-compliance detection mechanism? Describe how prohibited transactions (riba, gharar, maysir) are flagged and escalated. [MANDATORY]

4.4. What is your approach to Zakat calculation and reporting for eligible accounts? Is this configurable per jurisdiction? [OPTIONAL]

5. Technical Architecture and Integration

5.1. Provide an overview of your platform's technical architecture, including deployment models (cloud, on-premise, hybrid), technology stack, and high-availability design. [MANDATORY]

5.2. What APIs does your platform expose for integration with core banking systems? Do you support REST and ISO 20022 messaging? [MANDATORY]

5.3. Describe your data security architecture: encryption at rest and in transit, access control model, and key management. [MANDATORY]

5.4. Does the platform support multi-currency and multi-entity operations? Describe currency conversion handling for cross-border Islamic finance. [MANDATORY]

5.5. What is the platform's approach to regulatory reporting for GCC-region central banks (CBUAE, SAMA)? List supported report formats. [OPTIONAL] · Note: If not standard, describe custom options available.

5.6. Describe AI/ML capabilities for credit scoring or fraud detection in an Islamic finance context. [OPTIONAL] · Note: If not available, describe your product roadmap.

6. Commercial Terms, SLA and Legal

NOTICE: Responses to this section are reviewed by Procurement, Legal, and Compliance. Answers must be from authorised representatives.

6.1. Provide total cost of ownership (TCO) for a 5-year engagement including implementation fees, annual licence, and support costs. [MANDATORY] · Note: [PRICING] · Submit in a separate sealed pricing document. Do NOT include here.

6.2. State your standard SLA commitments for platform uptime, incident response, and disaster recovery RTO/RPO. [MANDATORY] · Note: [SLA] · Requires review by Delivery and Legal teams.

6.3. Confirm whether your contract includes data residency guarantees for UAE-hosted deployments and whether you accept DIFC law as governing law. [MANDATORY] · Note: [LEGAL] · Requires Legal team review. Do not auto-answer.

7. Compliance Matrix

For each row enter: Compliant / Partially Compliant / Non-Compliant / Roadmap. Reference the section of your response that supports the claim.

8. Implementation and Support

8.1. Describe your implementation methodology for a greenfield Islamic bank deployment. What is the typical timeline and how is project governance structured? [MANDATORY]

8.2. What is your approach to data migration from legacy Islamic banking systems? Describe tools and validation processes used. [MANDATORY] · Note: This topic may not be in standard documentation · provide full details.

8.3. Do you offer dedicated Shariah-qualified technical consultants as part of the implementation team? What certifications do they hold? [OPTIONAL] · Note: Gap question · may become a clarification item.

8.4. How is user training delivered? Do you provide e-learning modules in Arabic? What is the trainer-to-user ratio for classroom sessions? [OPTIONAL] · Note: Gap question · similar intent to 8.3 (dedup test).

9. Vendor References

9.1. Provide three references from Islamic bank deployments completed in the last five years (bank name, country, scope, contact). [MANDATORY] · Note: Gap question · not answerable from product docs.

9.2. How many live AAOIFI-certified Islamic banking clients do you currently serve? Describe your experience with AAOIFI deployments. [MANDATORY]

END OF RFP SAMPLE · Al-Baraka Digital Bank (fictional). All requirements, names, and figures are synthetic. Reference: ABDB-RFP-2024-001 v1.0

Req ID | Requirement | Mandatory | Vendor Response | Reference

CM-01 | Murabaha financing with AAOIFI-compliant profit disclosure | Yes | |

CM-02 | Commodity Murabaha (Tawarruq) workflow | Yes | |

CM-03 | Ijarah operating lease product | Yes | |

CM-04 | Ijarah Muntahia Bittamleek (lease-to-own) | Yes | |

CM-05 | Diminishing Musharakah for home financing | Yes | |

CM-06 | Sukuk administration and investor distribution | Optional | |

CM-07 | Shariah Board approval workflow | Yes | |

CM-08 | AAOIFI FAS-compliant financial reporting | Yes | |

CM-09 | Multi-currency and multi-entity support | Yes | |

CM-10 | REST API for core banking integration | Yes | |

CM-11 | ISO 20022 messaging | Optional | |

CM-12 | Encryption at rest (AES-256 or equivalent) | Yes | |

CM-13 | Role-based access control (RBAC) | Yes | |

CM-14 | GCC regulatory reporting (CBUAE / SAMA) | Optional | |

CM-15 | Zakat calculation and reporting | Optional | |

CM-16 | AI/ML credit scoring | Optional | |

CM-17 | DIFC / UAE data residency guarantee | Yes | |

CM-18 | DR: RTO <= 4 hours, RPO <= 1 hour | Yes | |